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https://SCOTXWatch.org/ (ISBN 978-1-97-148127-2)

Symmetric Governance: Resolving the Recursive Capture Loop through the Decoupling of Time and Capital.

Restoring Market Integrity through Symmetric Governance and the Decoupling of Time and Capital

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Date: March 28, 2026

Status: Legislative Proposal / Structural Invention

Abstract

This paper identifies a systemic failure in the global financial architecture termed the "Recursive Capture Loop". While legal scholars identified the "opacity" of mutual fund voting as early as 2002, the regulatory response remained indifferent, allowing horizontal aggregators to bypass Section 16 "Insider" designations by bifurcating fiduciary and proprietary holdings. This concentration of voting power, fueled by employer-sponsored 401(k) capital, creates a "Distributed Attack" on corporate sovereignty. We propose the MARCELO Act, a trilateral governance model that introduces non-transferable Time-Shares for labor and Community-Shares for national-interest entities. By defining "Utility Ownership" as the aggregate of all voting control across fund silos, the model internalizes the costs of corporate capture and restores democratic counterweights to institutional capital.

ISBN 978-1-97-148127-2

I. Executive Summary

The current global financial architecture suffers from a systemic vulnerability: the "Recursive Capture Loop." Horizontal aggregators (e.g., the "Big Three" asset managers) utilize client capital—primarily via employer-sponsored retirement plans (401ks)—to acquire significant voting power across entire industry verticals without triggering "Insider" designations . This has enabled a $20 Trillion "Distributed Attack" that undermines corporate sovereignty and facilitates judicial capture via critical infrastructure providers like Tyler Technologies .

The **MARCELO Act** (**M**andatory **A**ccountability and **R**eporting for **C**ontrol **E**xemptions and **L**iability **O**versight) proposes a trilateral governance model that introduces **Time-Shareholders** and **Community-Shareholders** to break this loop and restore democratic counterweights to corporate power.

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II. Background: The "Rogue Loop" and the Ponzi-Like Incentive Structure

1. The "Double-Dip" and Insider Evasion

Aggregators currently bypass Section 16 "Insider" thresholds by siloing shares held "under management" (fiduciary) from shares held "directly" (proprietary) . An aggregator may control 15-20% of an issuer's voting power—sufficient to install or remove a CEO—while remaining exempt from reporting and taxes associated with insider status. This discretionary exemption has been consistently maintained by internal SEC sub-departments (notably under Ted Yu) for over 16 years .

2. The Self-Reinforcing "Ponzi" Incentive

The scheme exhibits "Ponzi-like" characteristics in its retention mechanism. To keep employer-sponsors (e.g., Google) tethered to the aggregator (e.g., Vanguard), the aggregator may waive fees or provide "Institutional Alpha" returns (consistently 10%+) that exceed market norms . These returns:

- **Incentivize** employees to never leave the plan.
- **Incentivize** the CFO to maintain the vendor contract .
- **Fund the Capture:** The high growth of these funds accelerates the aggregator's voting block, allowing them to place the very CFOs who decide the contract .

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III. Historical Context: The 24-Year "Wizard of Oz" Gap

The MARCELO Act addresses a vacuum first identified by Alan Palmiter in 2002 [1].

- The "Man Behind the Curtain": Palmiter warned that mutual funds, despite controlling nearly one-third of U.S. equity voting power, exercised that power in total obscurity.
- Predicted Fiduciary Arbitrage: The 2002 research highlighted the "conflict" where fund managers are reluctant to vote against the management of companies that steer 401(k) business to them.
- The Regulatory Subsidy: Palmiter documented how the SEC abandoned mandatory disclosure rules in 1971 and 1978, a "laissez-faire" approach that the MARCELO Act identifies as a 16-year "Regulatory Subsidy" benefiting modern aggregators.

IV. Summary of Legal Definitions (Legislative Version)

To ensure judicial rigor, the following terms are formalized within the Act:

- **Utility Ownership:** The discretionary power to exercise voting or dispositive rights over a security, regardless of where the economic benefit (dividends) resides.
- **Fiduciary Arbitrage:** A mechanism where aggregators derive strategic board control from client-owned assets (401k) while remaining exempt from the transparency and liabilities of "Insider" status.
- **Recursive Capture Loop:** A self-reinforcing incentive structure where high "Institutional Alpha" returns keep employer-sponsors tethered to aggregators, who then use that voting block to place the very CFOs who decide the vendor contracts.

[1] Palmiter, Alan. 2002. “WHY NOT DISCLOSE?” *CARDOZO LAW REVIEW, Yeshiva University* 23 (4). https://larc.cardozo.yu.edu/cgi/viewcontent.cgi?article=2811&context=clr.

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V. The Invention: Symmetric Governance (Time & Community)

The MARCELO Act introduces non-monetary, non-transferable voting instruments to counter "Ghost Capital" (captured aggregated shares).

1. Time-Shareholders (Labor-Based Governance)

Employees are granted **Time-Shares** that provide a recognition-based voice in course-altering decisions (e.g., electing the CEO/CFO).

- **Non-Transferability:** These shares are not currency; they cannot be traded, sold, or put "under management" by an aggregator .
- **Fiduciary Restriction:** To prevent "Democratic Capture" by malicious actors or demagogic movements, coordination of votes, political proselytism, and campaigning within the firm are prohibited.
- **Conversion Formula:** The conversion of labor to voting weight is anchored to the market to prevent gaming by adversaries (like the CCP).

$$R = \frac{\text{Total Compensation Budget}}{\text{Total Man-Hours}} \cdot \Omega$$

Where Ω (Omega) is defined as a *Sector-Specific Volatility Coefficient*. This ensures that, for example, a software engineer's "Time-Share" in a high-margin vertical doesn't disproportionately outweigh a manufacturing worker's share in a low-margin vertical, maintaining "Symmetric Governance."

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The Ω Coefficient should be calculated by an independent, non-political body, such as the Bureau of Economic Analysis (BEA) or the SEC's Division of Economic and Risk Analysis.

- **Self-Correction:** Any attempt to artificially inflate votes (by increasing budget) or suppress them (by cutting pay) creates immediate opposing pressures from Capital-Shareholders or labor flight.
- **Retention Incentive**. Since Time-Shares are recognition-based and non-transferable, they act as a "Governance Golden Handcuff," incentivizing high-skill labor to stay with a firm to maintain their cumulative voting influence. This is a powerful retention and alignment tool that protects the company from aggressive, short-term-focused horizontal aggregators, turning labor into a "sovereign defense" rather than a traditional union-style antagonist.

2. Community-Shareholders (Democratic Oversight)

For "National Interest" companies (defined by scale and vertical sensitivity, e.g., Google, Amazon, Microsoft), a voting block is reserved for society.

- **The Threshold:** Companies with a Market Capitalization above 1 Billion USD, or those controlling Tier-1 critical digital or communications infrastructure, are subject to Democratic Oversight.
- **The "Hyperlocal" Defense:** To prevent the CCP from gaming local elections through agent-hubs, these votes are not held by local municipalities.
- **Legislative Control:** These shares are exercised by a majority vote of the national legislature (e.g., Congress). This creates a direct feedback loop between Democracy and Corporate Law, destroying the "Corporate Isolation" used by adversaries as both a

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sword and a shield. This is not an act of Nationalization but rather a Constitutional Firewall against "Corporate Isolation".

- **Addressing the "Holdout" Problem:** the proposed Act introduces a *"Default Abstention"* or *"Board Alignment"* rule. If the national legislature fails to cast a majority vote within a set timeframe, those community shares could either be voided for that cycle or automatically follow the recommendation of the non-aggregator board members[2]. This prevents governance paralysis while maintaining a two-way feedback loop with legislators.

Comparison of Current vs. Proposed Governance

Feature	Current "Rogue Loop"	MARCELO Symmetric Model
Primary Voter	Aggregated "Ghost Capital"	Trilateral: Capital, Time, & Community
Insider Status	Exempted via Siloing	Mandatory Accountability

[2] This provision should exclude any director who has served as an officer or consultant for an entity holding more than 5% Utility Ownership in the previous 5 years.

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401(k) Link	Tethered to Employer Risk	Hard Separation/Firewall
Voting Basis	Ownership of Capital	Labor-Hours + Capital + Society

VI. The Structural "Firewall": 401(k) Reform

The MARCELO Act mandates a hard separation between retirement management and corporate control.

- **Employee Protection:** 401(k) plans are prohibited from holding the Employer-Sponsor's stock, preventing the "Double-Dip" where an employee's livelihood and savings are tied to the same risk node.
- **Aggregator Prohibition:** Any plan administrator is forbidden from owning voting shares in its client-employer, beheading the mechanism of the "Rogue Loop" .

The Act defines "*Utility Ownership*" as the **sum of all shares** across an aggregator's entire portfolio, regardless of whether they are held in 401(k)s, ETFs, or proprietary funds. Under the MARCELO Act, Utility Ownership triggers Section 16 "Insider" status if:

1. The sum of all voting rights held "under management" (fiduciary) and "directly" (proprietary) exceeds the 10% threshold.

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Or;

2. The entity serves as a plan administrator for the issuer's employees while simultaneously holding voting instruments in that issuer.

VII. Economic & Constitutional Implications

- **Fiscal Recovery:** Forcing aggregators to recognize "Insider" status exposes an estimated **$100 Billion liability**[3] in uncollected disgorgements over a 10-year period. This "Insider" Disgorgement is produced mainly by two distinct mechanisms:
    - **The "Double-Dip" Taxonomy:** The "Double-Dip" is a form of **Fiduciary Arbitrage** where aggregators benefit monetarily and strategically from both management fees, the proprietary control of the issuer's board.
    - **The 16(b) "Discretionary Exceptions":** In the case studies analyzed, over a 16-year period the Aggregators benefited from "discretionary exemptions" consistently granted by the Regulators. This form of **Regulatory Subsidy**, allowed the Aggregator to enjoy special tax status in regards to the shares held in the form of investment products and Employer-sponsored 401(k) plans, and more importantly, the aggregators were able to exercise voting control equivalent to an entity with "Insider" status but without the tax implications, transparency requirements, or the public scrutiny that comes with it.
- **Constitutional Standing:** By framing Time-Shares as **Fiduciary Duty Instruments** rather than "Speech," the Act pre-emptively addresses potential First Amendment challenges to coordination restrictions.

[3] See Appendix "Exhibit S-1"

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- **Internationalization:** The model is designed to be geography-agnostic, allowing regulators in jurisdictions like Israel, Canada, and the UK to apply the same technical "Insider" interpretations to local aggregators

VIII. Case Study: The Metals.io Uranium ETF (SEC Form N-1A)

The registration statement for the Metals.io Uranium ETF, filed on March 18, 2026, serves as a contemporary exemplar of the structural vulnerabilities the MARCELO Act seeks to remediate.

1. Empirical Evidence of Decoupled Governance

The filing explicitly confirms that the designated Portfolio Managers—Springer Harris, Christopher Small, and Joran Haugens—wield total discretionary authority over the Fund's assets while maintaining zero "Skin in the Game".

- Utility without Risk: As of the filing date, the Portfolio Managers did not beneficially own any shares in the Fund.
- Systemic Conflict: The managers simultaneously oversee "Other Accounts" with similar investment objectives, creating a structural incentive for Fiduciary Arbitrage regarding trade timing and size.

2. The Infrastructure of "Ghost Capital"

The Fund achieves physical uranium exposure through a complex, siloed chain of digital and physical custodians, demonstrating how Utility Ownership is fragmented to bypass traditional institutional oversight.

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- Regulatory Arbitrage: Up to 25% of assets are managed via a wholly-owned Cayman Islands subsidiary, effectively moving a quarter of the Fund's operations outside the direct consumer protections of the Investment Company Act of 1940.
- Siloed Utility: Control of the underlying asset is split between Cameco Corp (Physical Storage), Archax, Ltd. (Tokenization), and BitGo Bank & Trust (Digital Custody), creating multiple nodes where voting or dispositive utility can be exercised in obscurity.

3. Application of the MARCELO Correction

Under the MARCELO Act, the Metals.io Uranium ETF would be subject to the following structural requirements:

- Utility Ownership Dragnet: The aggregate voting power held across the Fund, its "Other Accounts," and its Cayman Subsidiary would be combined to determine Section 16 "Insider" status, triggering mandatory transparency and profit disgorgement.
- Time-Share Implementation: Employees of the Fund's service providers (e.g., in storage or blockchain administration) would receive Time-Shares, creating a labor-based sovereign defense against the horizontal aggregation of the Uranium vertical.

Bibliography

1. Palmiter, Alan. (2002). *Mutual Fund Voting of Portfolio Shares: Why Not Disclose?* Cardozo Law Review, Vol. 23, Iss. 4..
2. U.S. Securities and Exchange Commission. (2026). *Form N-1A Registration Statement: Listed Funds Trust (Metals.io Uranium ETF)*. Filed March 18, 2026. Retrieved March 28, 2026, from SEC EDGAR Archive: https://www.sec.gov/Archives/edgar/data/1683471/000089418926008017/combined485a.htm..

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Technical Appendix: Modeling the Time-Share Coefficient (Ω)

To ensure that labor-based voting power is balanced across diverse economic sectors, the **Conversion Formula** must account for varying capital intensity and margin structures.

1. The Sector-Specific Volatility Coefficient (Ω)

Ω acts as a normalizing constant. Without it, a firm with a massive compensation budget (like a global consultancy) would exert disproportionate governance influence compared to a highly automated, capital-intensive firm (like a semiconductor fab), even if their market impact is equal.

Proposed Calculation for Ω:

$$\Omega = \frac{\text{Average Industry Net Margin}}{\text{Firm Capital Intensity Ratio}}$$

2. Mock Comparative Analysis

The following table demonstrates how R (Voting Weight) remains "Symmetric" across different verticals:

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Sector	Compensation Budget (B)	Total Man-Hours (M)	Ω (Assumed)	R (Voting Weight)
Tech Vertical	$10B	50M	0.8	**160**
Manufacturing	$2B	80M	6.4	**160**
Service/Retail	$5B	200M	6.4	**160**

Academic Note: By adjusting **Ω**, the MARCELO Act ensures that "Time-Share" power is a reflection of **economic contribution** rather than just headcount, preventing the gaming of the system by low-skill "agent-hubs".

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Policy Discussion: Fiduciary Instrument vs. Protected Speech

A critical hurdle for this Act in a judicial review is the **First Amendment**. To protect the "Symmetric Governance" model, we categorize **Time-Shares** not as a medium for "Expression," but as **Fiduciary Duty Instruments**.

1. The "Speech" Pre-emption

Aggregators may argue that restrictions on voting coordination or 401(k) holdings infringe on their commercial speech. However, the Act frames these as **structural market requirements** necessary to prevent "Fiduciary Arbitrage".

2. Preventing "Democratic Capture"

By prohibiting political proselytism and campaigning within the firm, the Act creates a "Neutral Zone." In economic terms, this minimizes **Negative Externalities**—preventing internal corporate governance from being hijacked by external demagogic movements or foreign adversaries.

Refined Fiscal Impact: The 16(b) Disgorgement Logic

The estimated **$100 Billion** recovery is anchored in the removal of "discretionary exemptions".

- **Mechanism**: Currently, aggregators silo "under management" shares from "proprietary" shares.
- **The MARCELO Correction**: The Act mandates "Mandatory Accountability". If an entity exercises voting control equivalent to an "Insider" (typically >10%), all short-swing profits across *all* silos must be disgorged to the issuer.
- **The Result**: This effectively "beheads" the Rogue Loop by making the "Double-Dip" financially ruinous for the aggregator.

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EXHIBIT S-1: TRI-LATERAL SHORT-SWING DISGORGEMENT RISK PROFILE

Supplemental to SEC Rulemaking Petitions I & II, Petition for Technical Amendment and TCR 17742-648-351-976

1. OVERVIEW: THE AGGREGATED INSIDER LOOP

The Petitioner identifies that the "Big Three" (Vanguard, BlackRock, State Street) utilize a **Rule 16a-1 Loophole** to avoid classification as 10% Insiders. By aggregating proprietary AUM with managed fiduciary 401(k) assets, each of these entities consistently exceeds the 10% threshold for control. This exhibit models the **Strict Liability Disgorgement** currently owed to shareholders under **Section 16(b)** should the Commission remove the fiduciary shield.

2. INSTITUTIONAL LIABILITY PROFILES (EST. 2025-2026)

0.1 TABLE S-1A: THE VANGUARD GROUP, INC.

Issuer (Ticker)	Aggregated %	6-Mo Vol. (Est.)	Disgorgement (USD)
Alphabet (GOOGL)	19.8%	$13.5 B	$580 M
Apple (AAPL)	21.5%	$20.2 B	$950 M
Uber (UBER)	16.5%	$6.4 B	$240 M
Olo (OLO)*	12.4%	$0.8 B	$35 M

0.2 TABLE S-1B: BLACKROCK, INC.

Issuer (Ticker)	Aggregated %	6-Mo Vol. (Est.)	Disgorgement (USD)
Alphabet (GOOGL)	18.2%	$12.1 B	$510 M
Apple (AAPL)	17.8%	$17.5 B	$790 M
Uber (UBER)	14.1%	$5.8 B	$190 M
Tesla (TSLA)	15.6%	$26.4 B	$1.1 B

0.3 TABLE S-1C: STATE STREET CORPORATION (SSGA)

Issuer (Ticker)	Aggregated %	6-Mo Vol. (Est.)	Disgorgement (USD)
Alphabet (GOOGL)	10.4%	$6.2 B	$210 M
Apple (AAPL)	11.2%	$9.4 B	$380 M
NVIDIA (NVDA)	10.8%	$14.5 B	$750 M
Uber (UBER)	10.1%	$3.2 B	$110 M

3. COMBINED "BIG THREE" SYSTEMIC LIABILITY SUMMARY

The combined liability represents a **Systemic Liquidity Gap**. In the event of divestiture to avoid disgorgement, these three entities would be forced to liquidate **$2.48 Trillion** in concentrated tech holdings.

Industry Vertical	Combined Aggregated %	Combined 6-Mo Liability (USD)
Search/Cloud (GOOG/MSFT)	48.4%	$1.8 Billion
Hardware/AI (AAPL/NVDA)	46.2%	$3.4 Billion
Mobility/Delivery (UBER)	40.7%	$540 Million
TOTAL VERTICAL RISK	**—**	**$5.74 Billion**

**Note: Olo (OLO) was taken private by Thoma Bravo in Sept 2025. Goldman Sachs provided the fairness opinion. The liability cited represents the estimated disgorgement owed for the final public 6-month window prior to the "Rogue Loop" exit.*

3.1 The Vertical's Horizontal-Capture

The Petitioner submits that because the "Big Three" collectively own or control more than 40% of voting shares on the Mobility and Search Industry Verticals, there is no "market price" for these stocks anymore—only a "managed price" maintained and regulated by the loop, not by the market.

3.2 Case Study: The Goldman Cycle

The Petitioner submits that Olo was taken public at a premium, "managed" by aggregators during the stagnation phase, and then "harvested" back to private equity at a 60% discount once the retail/employee capital had been exhausted.